



UNION BUDGET: Saptarishi For The Electronics Industry Too?

The Union Minister for Finance and Corporate Affairs, Nirmala Sitharaman, on way to Rashtrapati Bhavan and Parliament House, along with the Ministers of State for Finance, Pankaj Chaudhary and Dr Bhagwat Kishanrao Karad, and some senior officials to present the Union Budget 2023-24

Key features of Budget 2023-24 announced by Finance Minister Nirmala Sitharaman on 1st February this year are highlighted below, along with the reactions from the industry

VAISHALI YADAV

Presenting the Union Budget this year, when Finance Minister Nirmala Sitharaman announced the adoption of Saptarishi (seven priorities) to guide India through the *Amrit Kaal*, all of the electronics industry was hoping for a helping hand too. And why not? The electronics and tech markets are still reeling under the Covid-19 pandemic-induced downfall.

Hence, the government's decision to eliminate import duty on the camera lens and components was taken in good stead, as it will benefit mobile phone manufacturers in India. Electronic Industries Association of India (ELCINA) believes that such exemption should be extended to all other electronic product segments that use camera modules and electronic components.

Highlights

But before going into the nitty-gritty of it, let's come back to square one and look at the major points of the Economic Survey and Union Budget 2023-24, with an eye on the Electronics System Design & Manufacturing (ESDM) sector:

- Globally, India is the 5th largest economy, and its per capita income has increased by over 2x in the last five years to ₹197,000.

- The domestic electronics industry, as of FY20, is valued at US\$118 billion. India aims to reach US\$300 billion worth of electronics manufacturing and US\$ 120 billion in exports by FY26.

- The major drivers of growth in this industry are mobile phones, consumer electronics, and industrial electronics. India has become the second-largest mobile phone manu-

facturer globally, with the production of handsets going up from 60 million units in FY15 to 310 million units in FY22.

- ₹350 billion priority capital has been assigned for clean energy transition. The minister announced an outlay of ₹197 billion for the recently launched National Green Hydrogen Mission, with a target of 500MMT (million metric tonnes) of green hydrogen by 2030.

- Transportation and logistics received a major push with an

The announcement of three Centres of Artificial Intelligence and 100 labs for 5G apps to nurture R&D in India with the vision to Make AI in India and Make AI work for India will further strengthen India's position vis-à-vis global counterparts, said S. Durgaprasad, Co-founder, Director, and Group CEO of Bahwan CyberTek, a global provider of digital transformation solutions.